

**SAMPLE/DRAFT Communication to Participant
(To Be Placed on Company Letterhead)**

Dear <Participant Name>

We are writing to let you know that <\$0.00> will be withdrawn from your plan account as the 402(g) Deferral Limit has been exceeded for the 2025 calendar year. This amount includes a refund of <\$0.00> which is your own employee contributions, plus earnings.

Sources of money included in the 402(g) Deferral limit are:

- employee deferral contributions (i.e. pre-tax and Roth employee deferrals)

What does failing the 402(g) Deferral limit mean to you as a participant?

1. The excess deferrals must be removed from your account prior to 4/15 of the following calendar year in which the excess occurs.
2. If applicable, the attributable match must be forfeited and removed from your account.
3. The excess amount refunded to you will be taxed as follows:
 - a. if excess is returned prior to end of calendar year in which excess occurred, it is taxed in the year of distribution.
 - b. if excess is returned after calendar year in which excess occurred, but prior to 4/15, contributions are taxable for the calendar year excess made and earnings in year of distribution.
 - c. if excess is returned after 4/15 (calendar year following excess occurred), the excess contributions are taxable for the calendar year the excess contribution was made and the earnings are taxed in the year of distribution. When a distributable event occurs, the excess will be taxed again. No distribution from your account will occur at this time.
4. Federal tax withholding will not be withheld from this distribution unless Form W-4R is returned indicating the amount of taxes to be withheld.
5. The distribution is not subject to the following:
 - a. 20% mandatory tax withholding; or
 - b. the additional 10% tax if you are under age 59½.
6. The distribution is not eligible for rollover to another qualified plan or IRA.
7. You will receive a Form 1099-R for the calendar year in which the refund was made.

If you have any questions, please contact me.